

Action Construction Equipment Ltd (ACE)

Concall Tracker · Quarter filed: Q1 FY27 (Apr–Jun 2026) · Prepared 24 Jul 2026 · Source: Screener.in transcripts

What the business does: ACE is India's largest maker of mobile and tower cranes, and also builds construction equipment (backhoe loaders, road machinery), material-handling gear (forklifts) and farm equipment (tractors, harvesters). It earns money by manufacturing and selling this machinery — mostly in India — to infrastructure contractors, factories, rental/hiring firms, the armed forces, and farmers.

1. Snapshot

MARKET CAP

₹12,379 cr

Total value of all shares — a large-mid-cap company.

FY26 REVENUE

₹3,274 cr

A year's sales — roughly flat vs FY25's ₹3,320 cr (down ~1%). Growth stalled in FY26.

FY26 NET PROFIT

₹425 cr

Profit after all costs & tax — up ~5% on FY25's ₹404 cr; profit rose even as sales were flat.

OPERATING MARGIN (OPM)

15%

Operating profit as % of sales (excl. other income). Up from ~8% in FY20 — a big, durable improvement.

ROCE / ROE

32.5% / 23.6%

Return on capital / equity — how much profit each rupee of capital earns. Both very high; the business is capital-light and cash-rich (near debt-free).

P/E RATIO

27.7×

Price paid per rupee of annual profit — a premium rating that already prices in strong growth.

Reading the numbers: ACE is a high-return, debt-free compounder whose profitability has stepped up markedly over five years. The catch visible in the snapshot: FY26 sales were flat — profit growth came from margins and price, not volume.

2. Concall coverage

This report reads **13 earnings calls spanning three years — Q1 FY24 (Aug 2023) to Q1 FY27 (Jul 2026)** — the full quarterly record on Screener over that period. No prior ACE report exists in the archive, so this is a fresh full read.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q1 FY24	11 Aug 2023	Yes	Q3 FY25	10 Feb 2025	Yes
Q2 FY24	10 Nov 2023	Yes	Q4 FY25	27 May 2025	Yes
Q3 FY24	07 Feb 2024	Yes	Q1 FY26	11 Aug 2025	Yes
Q4 FY24	22 May 2024	Yes	Q2 FY26	07 Nov 2025	Yes
Q1 FY25	01 Aug 2024	Yes	Q3 FY26	04 Feb 2026	Yes
Q2 FY25	11 Nov 2024	Yes	Q4 FY26	21 May 2026	Yes
			Q1 FY27 ★	21 Jul 2026	Yes (latest)

★ Latest concall highlights — Q1 FY27 (call 21 Jul 2026)

- **Best-ever Q1.** Total income up ~19% year-on-year to **₹836 cr**; net profit up 22.5% to **₹118.6 cr** (from ₹96.8 cr). *Sales and profit both grew about a fifth — a strong bounce, but off a weak year-ago base (Q1 FY26 was the softest quarter of last year).* The core Cranes/Construction-Equipment/Material-Handling division grew 22% with volumes up 17%.
- **Margins held, not expanded.** Operating margin steady around 15% (excl. other income). Management was explicit: with steel up ~20% and every input cost rising, the aim is only to *recover cost and protect the ~15% margin — not to expand it.* Three price hikes taken (Jan, Mar, Jun) totalling ~10%.
- **KATO Works JV goes live end-July.** The 50-50 joint venture with Japan's KATO (heavy truck/crawler/rough-terrain cranes) becomes operational. *Total ₹200 cr investment (KATO puts ₹100 cr cash, ACE ₹100 cr in*

machines/tech). Small revenue from Q3, but meaningful only from FY28 — a long-dated bet on the high-value heavy-crane segment.

- **Defence scaling; new dedicated plant.** Started making rough-terrain forklifts for the armed forces; targets **₹200 cr+ of defence deliveries in FY27** (~5–6% of revenue). A dedicated defence plant (“Plant 9”, ~₹40–50 cr capex, ~₹500 cr revenue capacity) goes live by Q3/Q4.
- **Guidance withheld again; tone cautiously confident.** Management declined to give a full-year growth number until end-September, citing the West Asia war, commodity inflation and monsoon — “we will grow, but prudent to wait.” *This is the third straight quarter of deferring guidance — a recurring pattern.* A negative it flagged: the anti-dumping duty on cheap Chinese cranes, though recommended by the government’s own investigators, still hasn’t been notified by the Finance Ministry.

Business mix & capacity (quick glance)

- **Domestic vs exports:** Overwhelmingly domestic — exports were only ~3% of Q1 FY27 revenue (subdued by shipping/geopolitical disruption; stuck Middle-East orders), with a full-year target of 6–7%. *So roughly 93–97% of sales are within India today; exports are an aspiration, not yet a pillar.* Defence added ~5% of the quarter.
- **Capacity utilization:** Plants run at only ~60% of capacity (FY26 blended). Revenue capacity is ~₹5,000 cr against ~₹3,300–3,400 cr of actual sales. *There is 30–40% headroom to grow output with almost no new capex needed — growth is not capacity-constrained, it is demand-constrained.* Expansion plans (a large tower-crane factory) are being deferred until demand firms up.

★ 3. Earning-trigger thesis

ACE’s reliably **delivered** trigger has been **margin expansion**: operating margin roughly doubled from ~8% (FY20) to a durable ~15–18%, driven by operating leverage, richer product mix (higher-tonnage and new-generation cranes) and disciplined pricing — and it held even through a flat FY26. Layered on top is a set of **still-live growth options**: the high-value heavy-crane push (KATO JV + a long-awaited anti-dumping duty on Chinese cranes), a scaling defence order book, exports, and share gains in backhoe loaders — all supported by huge idle capacity and a near-debt-free, cash-rich balance sheet. The weak spot: the **headline growth engine stalled in FY26** (revenue flat, volumes actually fell), so the volume side of the story is currently unproven.

Trigger	What management said	Evidence so far	Horizon	Strength
Margin expansion & durability	Operating leverage + mix + pricing keeps EBITDA margin at ~15–18%.	Delivered: 8%→16.5% (FY24)→~18% (FY26), held through a flat year.	Playing out	Strong proven, sticky
Heavy cranes: KATO JV + anti-dumping duty	Enter big truck/crawler cranes (97% Chinese today); duty to hand ACE ~half the market over 3–5 yrs.	JV finalised & live from Jul 2026; but duty ruled yet never notified by Finance Ministry.	FY28+	Moderate big prize, policy-dependent
Defence orders	Scale from ~3% to 5–6% of revenue; ₹575 cr order book incl. a ₹420 cr MoD forklift order.	Order won; execution slipped (Sep’25→FY27); ₹200 cr+ targeted FY27; dedicated plant coming.	FY27–FY28	Moderate real orders, timing slips
Exports	Rise to 6–7% (FY27) then 15–20% medium-term; white-label/OEM optionality.	Only ~3–5% and volatile; Ghana order in limbo 2 yrs; shipping/tariff headwinds.	Medium term	Weak repeatedly under-delivered
Volume growth / new segments (backhoe, harvesters, new-gen cranes)	Backhoe share 2.5%→double-digit; overall 15–20% growth; ₹6,000–6,200 cr by FY29–30.	New products launched & share gaining slowly; but FY26 volumes fell ; growth demand-dependent.	FY27–FY30	Moderate credible but unproven of late

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
Margins (all years)	Double-digit margins “here to stay”; ~15–18% sustainable.	Delivered and sustained through a flat FY26.	Delivered
FY24 growth	Guidance raised through year: 20% → 25% → 32%.	Beat — revenue +35% to ₹2,911 cr. Genuine beat-and-raise year.	Delivered
“Double FY23 revenue by FY26” (₹2,200 cr→₹4,400 cr)	Repeated across FY24–FY25 as the flagship medium-term target.	Missed. FY26 landed ~₹3,300 cr; target quietly pushed to FY27, then reframed as ₹6,000–6,200 cr by FY29–30.	Missed
FY26 growth	Started FY26 guiding ~14–15%; cut to flat/single-digit mid-year.	Revenue essentially flat (down ~1%); volumes fell ~13,300→10,800 units, held only by price/mix.	Partly (profit held, top line missed)
₹420 cr MoD defence order	“Biggest-ever” order; execution from Sep 2025.	Won as promised, but execution slipped to Q4/ FY27 (govt NOC delay).	Partly
Anti-dumping duty on Chinese cranes	Expected to be notified by ~mid-2025, opening the heavy-crane market.	Ruled by DGTR but never notified by Finance Ministry — recurring frustration (govt-driven, not management’s fault).	Too-early
KATO heavy-crane JV	Teased as a “game changer” from FY24; functional by FY26.	Delayed but finalised; goes live Jul 2026, meaningful revenue only FY28.	Partly (delivered late)
Agri (tractors/ harvesters) margins	Repeatedly said margins would improve toward 12–15%.	Stuck at 1–4% for years; chronic under-delivery (management admits it).	Dropped/Missed
Exports / Ghana order	Rise to 10–15%; Ghana order to ship.	Exports stuck at 3–5%; Ghana in “limbo” for ~2 years.	Missed

Narrative drift: The story has been *half steady, half slipping*. The **margin thesis has been rock-solid and consistently delivered**, and the underlying growth drivers (capacity, big cranes, defence, exports, new products) have stayed the same across three years rather than being reinvented each year — a good sign. But the **headline growth ambition has drifted markedly**: the “double-by-FY26” target was repeated confidently, then missed and quietly re-dated, and management has now **withheld annual guidance for three straight quarters** (Q1 FY26, Q4 FY26, Q1 FY27). To their credit, they have been unusually **candid** about the misses (“we might fall short — it’s the truth, there’s no denying it”) and honest about the causes (emission-norm pre-buy hangover, monsoon, geopolitics). So the pattern is: over-promise growth in good times, reset honestly when reality bites — while always protecting margins.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, proven trigger — the **margin step-up** (operating margin ~8%→~15–18%) that has held even through a flat year — backed by real growth optionality (heavy cranes via the now-live KATO JV, a scaling defence book, huge idle capacity, and a fortress balance sheet). It is a YES because the core profitability driver is delivered and sticky. The honest caveat: the **volume-growth engine stalled in FY26** and the biggest upside (heavy cranes) hinges on an anti-dumping duty the government keeps declining to notify — so the trigger is strong on profitability, only moderate on top-line acceleration.

Management consistent? → MAYBE

Genuinely mixed, so a MAYBE — not a soft one. On **margins, product launches and capacity**, management has done exactly what it said, year after year. But its **flagship growth promise (double revenue by FY26) was missed and quietly re-dated**, agri margins and exports have under-delivered for years, and annual guidance has now been withheld three quarters running. What keeps this from a NO is the unusual **candour** about the misses and the fact

that the strategy itself hasn't chopped and changed — the same drivers recur consistently. The story is steady on the how (margins, discipline) but has drifted on the how-much (growth). Watch the end-September FY27 guidance and whether Q1's volume recovery holds.

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